

Tesla takes all concerns raised in good faith seriously. All matters are promptly and appropriately investigated by the appropriate team of professionals. Concerns related to responsible sourcing and human rights are directed to Tesla's Responsible Sourcing team. Tesla's aim is to acknowledge concerns within 72 hours and resolve cases within 30 days. Some cases may require additional time. Tesla commits to a transparent internal procedure clearly defining responsibilities for complaint handling and to periodically review and improve the effectiveness.

To protect confidentiality and the integrity of the investigative process, information is shared on an "as need to know" basis and careful attention is paid to avoid negatively affecting the person that raised the concern throughout the investigation. There is follow-up in the Integrity Line system so the reporter is made aware that their concern was appropriately addressed and closed. As applicable, we work with stakeholders to address or improve conditions raised.

Non-Retaliation

Tesla does not tolerate retaliation in any form against employees or third parties who report concerns in good faith or participate in investigations. We also expect our suppliers to prohibit retaliation against workers and other stakeholders (including those that represent them) for raising concerns. We treat all individuals with respect.

Tesla Responsible Sourcing

Policies

Below are Tesla's policies related to responsible sourcing including the Responsible Sourcing Policy, the Global Human Rights Policy, and the Supplier Code of Conduct. Suppliers are contractually obligated to fulfill the requirements laid out within policies and contracts, as well as respect the international principles recognized therein. While each of these documents serve a unique purpose, they do not operate in isolation and should be considered collectively to understand the full scope of Tesla's responsible sourcing expectations.

Language on this webpage automatically geolocates. To change languages, navigate to the globe icon in the upper right-hand corner of the webpage and select the country of the language you wish to view the policy in.

Responsible Sourcing Policy

Introduction and Scope

In line with Tesla's mission, Tesla is committed to ensuring that companies in our supply chain – tier 1 and upstream suppliers – respect human rights, protect the environment, and uphold responsible business practices. We strive to maximize the positive impact of our supply chain for people and the planet. Our goal is that wherever Tesla's supply chain has an impact, local conditions for

stakeholders continuously improve because of our purchasing decisions and relationships. This Responsible Sourcing Policy ("Policy") is applicable for all materials and all sourcing regardless of sourcing location, and therefore constitutes our policy for conflict minerals (columbite-tantalite (tantalum), cassiterite (tin), gold, wolframite (tungsten), and any derivatives of these, also known as "3TG")), for which Tesla files an annual report in accordance with the Dodd-Frank Wall Street Reform and Consumer Protection Act.

We require all companies or individuals involved in a supply chain producing goods and services for Tesla, whether directly or indirectly, as well as their personnel, agents, and subcontractors, referred to hereinafter as "suppliers," to conduct their worldwide operations in a responsible manner, consistent with Tesla's mission. Suppliers are contractually bound to adhere to this Policy, our Global Human Rights Policy, and our Supplier Code of Conduct.

Governance

Tesla periodically reviews and updates its Policy and any associated processes with the aim of continuous improvement. Every two years, Tesla engages in a holistic review of our Policy with cross-functional representatives to keep the Policy up-to-date and reflective of Tesla's growing operations. We also engage external groups on a regular basis to seek feedback on this Policy and our responsible sourcing efforts. We encourage stakeholder engagement and are committed to considering feedback from affected stakeholder groups.

Our responsible sourcing efforts are overseen internally by executive representatives from Supply Chain. We regularly report on progress and review our responsible sourcing efforts with cross-functional representatives from Global Compliance, Environmental Health & Safety, Global Trade Compliance, Internal Audit, Investor Relations, Legal, and Sustainability, among others, to keep other areas of the organization informed of our efforts and support with prioritization of our efforts to maximize impact.

Commitment

Tesla follows the Organization for Economic Co-operation and Development ("OECD") Due Diligence Guidance for Responsible Business Conduct, and the OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas ("CAHRAs") when identifying, mitigating, and reporting risks within our value chain.

Tesla requires its suppliers to establish policies, due diligence frameworks, and management systems consistent with these frameworks.

In line with these frameworks, we commit to:

- Adopting, widely disseminating, and incorporating in contracts and/or agreements with suppliers this Policy and our responsible sourcing requirements;
- Identifying and regularly revisiting the identification of priority raw materials with higher materiality and risk for adverse social and environmental impacts;
- Collecting information and data from primary and secondary sources to identify potential environmental and social risks, red flags, and/or adverse impacts, including through supplier questionnaires, assessments, and grievance mechanisms that provide an avenue for rights holders and rights defenders to raise potential concerns. Sensitive data is protected and properly collected, processed, and managed to maintain its integrity and confidentiality;

- Conduct supply chain mapping, tracing, and due diligence on parties in Tesla's upstream supply chain for evidence of complicity in human rights abuses;
- Where a reasonable risk exists, identifying priority engagement areas and immediately devise, adopt, and implement a risk management/mitigation plan with reasonable timescales in the view of continuous improvement;
- Whenever possible, source from suppliers (directly and upstream, including processing facilities) that undergo audits against relevant third-party audit programs and/or require their respective suppliers to undergo such audits to be determined by Tesla on an ongoing basis. Audit requirements, process and schedules are shared directly with suppliers. For example, for 3TG, we require suppliers to source from smelters or refiners or processors that comply with the Responsible Minerals Assurance Program (RMAP) and set similar expectations with their suppliers;
- Establish and enforce a supportive framework to ensure that any gaps or instances of non-compliance identified during assessments are effectively resolved, aligning with the OECD Guidance's emphasis on continual improvement;
- When managing non-compliance, as appropriate, first engage our suppliers, business partners, central or local government authorities, international organizations, civil society, affected stakeholders, and third parties to establish corrective action plans and drive corrective actions that help address the underlying issues and build capacity;
- Where direct engagement does not lead to meaningful progress and/or where there is insufficient evidence or lack of viability for the immediate and appropriate mitigation of serious abuses, consider all appropriate forms of leverage, including the reduction and/or termination of supply agreement and/or suspension or discontinued engagement with suppliers after assessing adverse impacts of potential disengagement decisions;
- Collaborating with other companies and industry initiatives where collective approaches to risk identification and/or mitigation are appropriate; and
- Reporting at least annually on risks identified and risk mitigation actions taken.

Tesla will work collaboratively with our suppliers to ensure diligent implementation of the requirements set forth herein and will verify and enforce compliance fairly and consistently when necessary. We will continue to develop supplier guidance and aid in supplier capability building on these topics. We will support efforts of others, or take steps ourselves, to engage with relevant authorities, international organizations, and civil society organizations to contribute to improved conditions in our supply chain. Tesla recognizes the importance of continuing to source from potentially high-risk contexts, including for example, the Democratic Republic of the Congo or other CAHRAs; practicing risk mitigation is a preferred path than to embargo or terminate sourcing due to the importance of material production to livelihoods in those areas.

We require our suppliers to set and communicate similar or stricter commitments with their sub-suppliers. Suppliers are required to use reasonable efforts to ensure that products supplied to Tesla do not contribute to armed conflict, human rights abuses, or environmental degradation, regardless of sourcing location. Suppliers must agree to ensure transparency, remedy any shortcomings, and drive continuous improvement.

Salient Responsible Sourcing Issues

Among the topics covered in our Global Human Rights Policy and our Supplier Code of Conduct, and in alignment with OECD guidance, we will not tolerate, contribute to, or facilitate the

commission by any party in our supply chain of:

1. Non-compliance with applicable laws and regulations relating to the production, trade, handling, transport, and export of materials, including procedures for employee health and safety, and the payment of taxes, fees, and royalties owed to governments;
2. Any forms of forced or compulsory labor, which means work or service which is exacted from any person under the menace of penalty and for which said person has not offered themselves voluntarily
 - Including serious human rights abuses associated with the production/extraction, transport, or trade of materials, particularly, but not limited to, for materials from CAHRAs;
3. Child labor;
4. Serious negative/adverse impacts on the environment and biodiversity, including
 - Air and water pollution,
 - Deforestation,
 - Lack of greenhouse gas emissions management and mitigation,
 - Lack of climate-related risk management,
 - Inappropriate use of hazardous substances or substances of very high concern, and
 - Inappropriate waste management;
5. Serious negative/adverse impacts on local communities and/or insufficient community engagement, including violating indigenous rights or with regards to environmental, social, and other quality of life factors;
6. The lack, or inadequacy, of measures to provide employees and contractors with a safe, healthy, respectful, and fair work environment, allowing for equal opportunities and safe waste management, including proper tailings and processing residue management for mining and refining operations;
7. Corruption, bribery, fraudulent misrepresentation of the origin of materials, money laundering, and conflicts of interest;
8. Any forms of torture, cruel, inhuman, and degrading treatment;
9. Conflict financing and non-compliance with relevant United Nations sanctions resolutions or, where applicable, domestic laws implementing such resolution;
10. War crimes or other serious violations of international humanitarian law, including crimes against humanity and genocide;
11. Direct or indirect support to non-state armed groups, public or private security forces, or their affiliates, including, but not limited to, the procurement of materials, making payments, or otherwise providing logistical assistance or equipment to those who:
 - Illegally control production sites or otherwise illegally control transportation routes, points where materials are traded, and/or upstream actors in the supply chain,
 - Illegally tax or extort money or materials at points of access to production sites, along transportation routes, or at points where materials are traded,
 - Illegally tax or extort intermediaries, export companies, or international traders, and/or
 - Do not act in accordance with the Voluntary Principles on Security and Human Rights; and
12. The exposure of vulnerable groups to adverse impacts associated with the presence of security forces, public or private, on production sites.